

Chapter 5

Marketing Analytics: Customer Profiling for Distributors

Jonathan Bein, Ph.D., Real Results Marketing

Analytics can help you profile your customer base and determine which ones are most profitable for your business. This chapter outlines the methods for finding the sweetest spots in your customer base and for managing the entire lifecycle of the customer relationship.

In my experience, distributors routinely have difficulty answering the following two questions:

1. What are the sweetest spots in our customer base?
2. How should we manage the customer lifecycle from first purchase to maturity and beyond?

They may think they have the answers, but often it is based on gut feel or anecdotes. There's no data to back them up. And often, that gut feel is incorrect or, at best, partially incorrect. As a result, distributors may be spending too much effort on some customers while ignoring great opportunities.

The Sweet Spot Problem

When we ask successful distribution executives about the sweet spots in their market, they readily provide a confident answer. But a detailed, analytic look at their customer base shows that some market segments and customers are overrated, some underrated and others are ignored

or undetected altogether.

While these executives sincerely believe their answers, there are several reasons why the answers are at odds with data about the customer base. The first is shifting market conditions, such as a downturn or upturn, that changes where the sweet spots are. Segments that were sweet spots at the beginning of the Great Recession or even this decade may not be sweet spots now because the economy has experienced a number of downturns and upturns in that time.

The second reason is that many executives have exposure to only a limited portion of their customer base, often the largest customers. This results in a sampling bias in which they mistake the set of customers they have visited as being representative of the rest of the market.

Finally, many executives know generally which market segments are attractive, but they are unfamiliar with the micro-segments, making it difficult to take meaningful action based on an imprecise classification of customers. One cannot tell who the players are without a scorecard. “Statisticians are not very good informal statisticians,” says Daniel Kahneman, the Nobel Prize winner in economics. This is especially true for executives who may have limited statistics background.

Customer Lifecycle Management Problem

One of the biggest challenges for any sales and marketing organization is when to reach out to a customer with an offer or promotion. The objective is to reach out during a natural buying cycle. But reaching out too frequently loses its impact or even turns the customer off, while not reaching out enough could mean losing sales opportunities.

A simple behavioral segmentation technique called recency-frequency-monetary (RFM) value is key to managing the customer lifecycle. It optimizes the timing of offers and promotions without requiring big data to be effective. The main idea of RFM analysis is to classify customers by how recently they have purchased and by how many times they have purchased in a given time period, typically months or years.

Here are the key principles of RFM:

- **“When you’re hot, you’re hot.”** Customers who buy a lot and have bought recently will continue to do so, probably without special offers or promotions.
- **“When you’re not, you’re not.”** Customers who have not bought a lot or who have not bought recently need offers or promotions to get back into a good purchasing pattern.

Effective segmentation and customer profiling allows for targeted messaging to key segments in a language that makes sense to companies in that segment (different industries often use different terminology). Good segmentation also allows for prioritization of customers by sales potential and ease of penetration.

In this chapter, we look at how customer firmographic information – the specific characteristics of a company – and behavioral data can be used to market and sell more effectively to your existing customers.

Sweet Spot Analysis

Our method for finding the sweet spot in a customer base is very simple:

1. Obtain firmographic data on your customers.
2. Gather transaction data on your customers, including annual revenue, gross margin, net profit and orders for each of your customers over a three- to five- year period.
3. Combine the firmographic data with the transaction data to analyze by individual firmographic variables or by pairs of firmographic variables such as line of business and number of employees.

A key premise in this approach is to build on success you are already having in the market. To do that, you must be able to accurately identify where that success really is. Relying on an analyst report that predicts general trends in the market may be true for the industry, but may not

apply specifically to your company for one reason or another. Hence, looking at your own information is critical.

Firmographic Variables

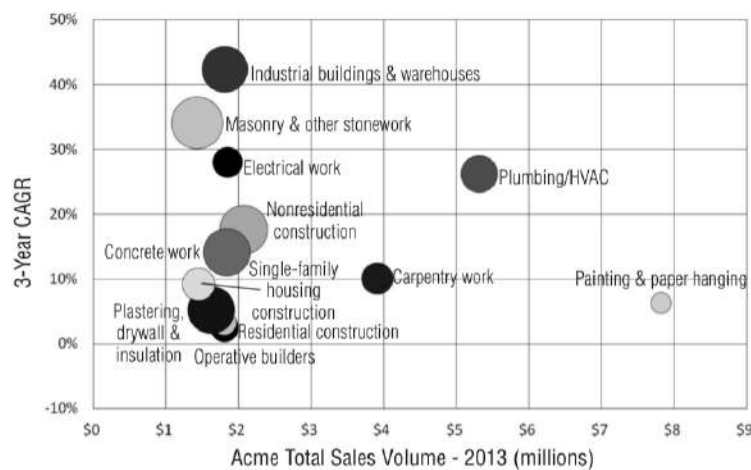
Firmographic variables are the specific characteristics of each company, including line of business, annual revenue, number of employees, location and year of founding. Other relevant variables include geography, sales territory, credit rating and the type of account (e.g., regular, cash, COD).

Line of business information usually comes from one of three sources:

1. Common industry classification such as SIC or NAICS.
2. Custom-developed classification or segmentation from your own company.
3. Third-party classification as found in sources, such as Hoovers.

The most reliable approach for analysis exists when a company has developed a good internal classification scheme and applies it consistently to its customer base. In the absence of a good internal classification

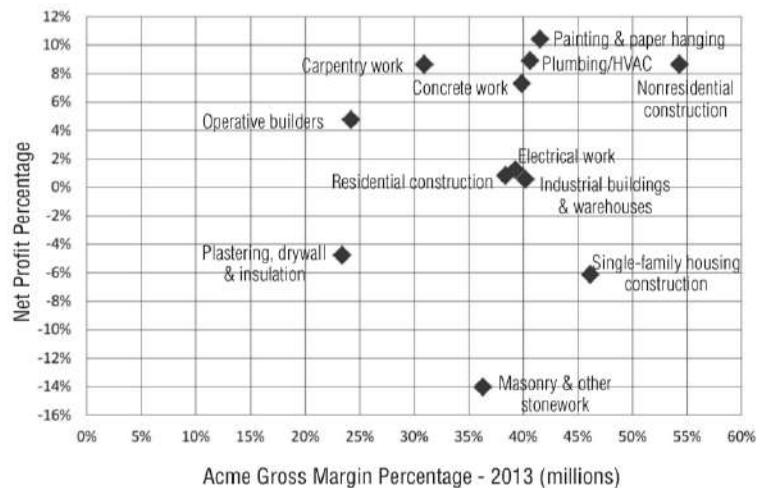
Figure 5-1: Revenue and Growth by Line of Business



scheme, the common industry approaches or third-party classification schemes work well.

The example in **Figure 5-1** shows revenue volume (horizontal axis) and compounded annual growth (vertical axis) for Acme, a fictitious name for a real company that sells building materials. Before analyzing the data, they believed their best segments were painting and paper hanging, plumbing and HVAC, and carpentry work. The analysis showed that plumbing and HVAC and carpentry work have much higher annual growth rates than painting and paper hanging.

Figure 5-2: Net Profit % and Gross Margin % by Line of Business



Further analysis using gross margin percentage and net profit percentage (see **Figure 5-2**) shows that other segments have attractive profitability, even if they have smaller sales volume. This analysis shows that nonresidential construction is high net profit and high gross margin. From the previous figure, we can see that even though nonresidential construction is a small segment, it is growing at 17 percent compounded per year.

From **Figure 5-2**, we also see that there is very little correlation between

gross margin and net profit. Six of the segments in that figure have about 40 percent gross margin, yet the net profit varies for those same segments between 2 percent and 10 percent. Since there is generally very little correlation between net profit and gross profit, it is preferable to use net profit instead of gross profit or revenue in these types of analyses.

When determining the size of a company, we typically look at annual revenue and the number of employees. The reason we look at both variables has to do with the reliability of data either directly from the customer or from third-party sources such as D&B, InfoUsa or Axciom. Most companies are more likely to report their number of employees than their annual revenue.

If you have access to industry-specific measures of size about your customers and prospects, such as number of trucks, technicians or manufacturing employees, that is often the best way to go. It is a more direct way to understand potential opportunity in an account.

Analysis of the size data in **Figures 5-3** and **5-4** shows that Acme has a split between very small companies with less than \$1 million revenue

Figure 5-3: Sweet Spots by Customer Revenue

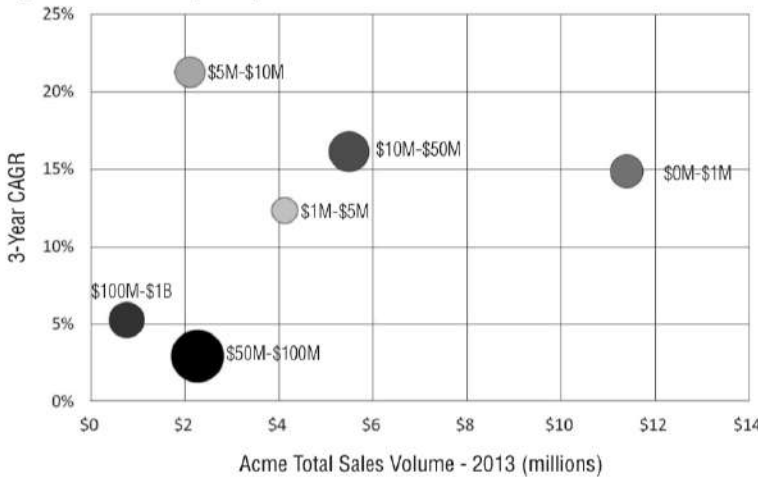
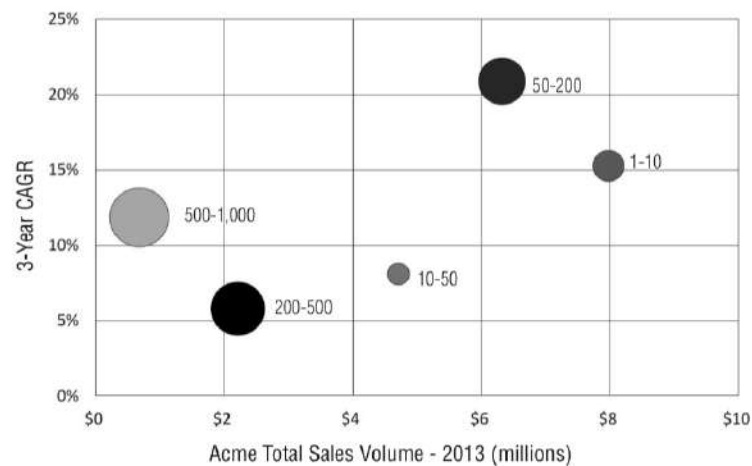


Figure 5-4: Sweet Spots by Number of Employees



and 10 employees and mid-sized companies with \$10 million to \$50 million revenue and 50 to 200 employees. At the same time, clients with \$5 million to \$10 million annual revenue are growing the fastest. However, as the graphs show, Acme has had little success with large corporations.

Year of founding may not seem to be an obvious indicator to everyone, but our work has shown it to be a powerful segmentation variable in several cases. There is not a clear-cut trend for how it correlates to each company; for example, older companies are not always better prospects. In the example in **Figure 5-5**, the highest volume segment for the distributor is companies started in the 1980s.

For distributors who sell to OEMs, we have seen a trend that newer, but not the newest, customers are the best prospects. With another distributor who sells to high-tech companies, its best prospects were founded between 2001 and 2005, yet its worst prospects were founded between 2006 and 2010.

For this distributor, there is a balance in finding OEMs that are new

enough to need the distributor's high-tech components but old enough to be successfully selling in-market. For another distributor of green products, its best segments are companies that are environmentally conscious, including new millennium companies, as well as churches and schools that were formed before 1950.

Figure 5-5: Sweet Spots by Year of Founding

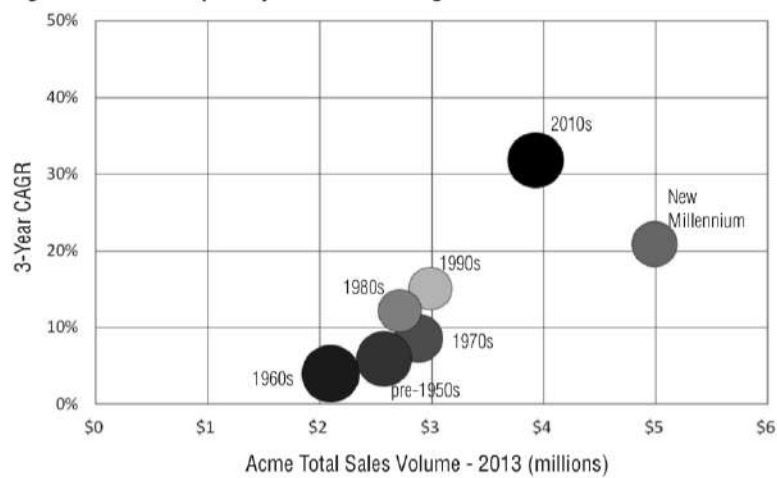


Figure 5-5 shows Acme's customer segments by year of founding. The trend for Acme is clear: Segments with newer companies are higher growth and higher volume than other segments. However, deeper analysis shows that many of the newer companies are smaller, so Acme must align the opportunity in these accounts carefully with cost to serve. It may entail driving those new small accounts to purchase through lower cost channels, such as e-commerce or inside sales, rather than being served by field sales.

Two-Variable Analysis

The examples that we have shown so far are all focused on a single firmographic variable, but it is often useful to work with two variables – for example, line of business and customer revenue. The precision of

two-variable analysis is more actionable whether the goal is expanding wallet share or acquiring new customers. Three-variable analysis tends to be too complex and the segments too small to be meaningful.

The best way to get quick sales hits is to know where the existing sweet spots are and to replicate that success. The examples that we included do not require a degree in statistics to understand. Insights leap off the page to even the casual observer.

Besides showing segments where additional sales volume can be easily captured, this method of segmentation can also highlight problem areas. One of our clients who sells HVAC equipment believed that their best segments were HVAC contractors and electrical contractors. While both segments were high volume, the electrical contractor segment actually showed negative growth over a multi-year period.

Upon learning this, the distributor was able to determine whether there was a problem with their offering or service or if it was just the economy. Even more important, we uncovered a segment that, although not as large as HVAC contractors or electrical contractors, was growing at 40 percent per year. The client made significant market gains in that segment with targeted list purchases and marketing campaigns.

Customer Lifecycle Management

When used skillfully in customer lifecycle management, recency-frequency-monetary analysis can drive retention, re-acquisition, and wallet-share programs, as well as optimize promotional spend.

Figure 5-6 contains a point-in-time RFM summary analysis of 21,433 customers from a distributor over a 24-month period. Cells in the upper right portion of the summary represent higher volume customers who have purchased recently. Cells in the lower left of the summary represent low-volume customers who have not purchased recently. In between are various mixtures of sales volume and recency of purchase.

Figure 5-6: Recency Frequency Summary

Customer Count	Months since last order						Totals	%
Frequency of purchases	13 or more	7 to 12	4 to 6	3	2	1		
200 or more	1	1	5	3	12	339	361	1.7%
50 to 199	11	28	29	37	128	980	1,213	5.7%
10 to 49	181	394	677	504	765	1,811	4,332	20.2%
2 to 9	2,390	2,278	1,773	876	951	1,312	9,580	44.7%
1	2,912	1,167	647	341	413	467	5,947	27.7%
Total	5,495	3,868	3,131	1,761	2,269	4,909	21,433	
%	25.6%	18.0%	14.6%	8.2%	10.6%	22.9%		

There are 2,912 customers whose most recent purchase was one year or more and who have only made one purchase in the last 24 months.

There are 339 customers whose most recent purchase is within the last month and who have made at least 200 purchases in the last 24 months.

This RFM summary reveals key things about this company:

- Its most frequent buyers are also among the most recent buyers. In the top row, more than 90 percent of the customers who have purchased 200 times or more have also purchased within the last month.
- Its least frequent buyers – the “one-and-done” customers – represent more than 25 percent of its accounts. Across numerous analyses we have seen that a third to half of one-and-done customers are in a sweet spot segment. That is opportunity walking out the door.
- The accounts that have purchased two to nine times and 10 to 49 times represent the largest segment for this company. Most of these accounts are house accounts that receive very little attention. More than half of these accounts have not purchased in the last three months.

Companies who used recency-frequency-monetary analysis will run

the analysis weekly or monthly, often comparing against the previous month to see how sales are trending. If the customer base is increasing in recency and frequency, that is strong evidence the marketing and sales process is going well. In contrast, if overall customers are decreasing in recency, there are likely problems to be addressed.

Figure 5-7: Recency Frequency Monetary Value Summary

Total Spend Trailing 24 Months	Months since last order						Totals	%
	13 or more	7 to 12	4 to 6	3	2	1		
Frequency of purchases								
200 or more	\$ 1,556	\$ 87	\$ 4,185	\$ 924	\$ 1,692	\$ 219,387	\$ 227,832	51.8%
50 to 199	\$ 689	\$ 5,156	\$ 1,991	\$ 3,305	\$ 7,572	\$ 84,151	\$ 102,854	23.4%
10 to 49	\$ 3,194	\$ 5,719	\$ 7,885	\$ 7,681	\$ 12,281	\$ 36,169	\$ 72,930	16.6%
2 to 9	\$ 5,197	\$ 6,951	\$ 5,523	\$ 2,697	\$ 3,394	\$ 7,743	\$ 31,504	7.2%
1	\$ 2,156	\$ 1,079	\$ 560	\$ 243	\$ 226	\$ 537	\$ 4,770	1.1%
Total	\$ 12,762	\$ 18,982	\$ 20,144	\$ 14,851	\$ 25,165	\$ 347,987	\$ 439,891	
%	2.9%	4.3%	4.6%	3.4%	5.7%	79.1%		

For each cell in the grid in **Figure 5-6**, the corresponding cell in **Figure 5-7** contains the value of the customers in the time period of the analysis. For example, the 339 customers in the upper right cell in **Figure 5-6** have made \$227 million of orders during the time period of the analysis. For this distributor and many others, most revenue comes from high-volume customers. The “one-and-done” customers in the first row total only \$4.8 million of revenue.

Figure 5-8: Recency Frequency Monetary Incremental Opportunity

Total Incremental Opportunity (000s)	Months since last order						Totals	%
	13 or more	7 to 12	4 to 6	3	2	1		
Frequency of purchase								
200 or more	\$ -	\$ 8	\$ 70	\$ 4	\$ 670	\$ 9,230	\$ 9,982	15.1%
50 to 199	\$ 54	\$ 77	\$ 77	\$ 297	\$ 493	\$ 5,088	\$ 6,087	9.2%
10 to 49	\$ 687	\$ 1,128	\$ 1,800	\$ 1,301	\$ 2,048	\$ 4,403	\$ 11,368	17.2%
2 to 9	\$ 6,939	\$ 5,883	\$ 4,435	\$ 2,171	\$ 2,182	\$ 2,598	\$ 24,199	36.6%
1	\$ 7,697	\$ 2,762	\$ 1,431	\$ 735	\$ 855	\$ 936	\$ 14,416	21.8%
Total	\$ 15,378	\$ 9,858	\$ 7,803	\$ 4,508	\$ 6,249	\$ 22,255	\$ 66,051	
%	23.3%	14.9%	11.8%	6.8%	9.5%	33.7%		

Real Results Marketing has developed an approach to estimate the incremental opportunity in an account. This can also be used with RFM as shown in **Figure 5-8**. The total estimated incremental opportunity in these accounts is \$66 million. By using this information, the company can develop sales and marketing programs to capture the incremental potential in these accounts. By knowing the potential, it also can determine what sales and marketing resources should be applied relative to the opportunity. The distributor might decide to use field sales for only the large accounts, inside sales for the mid-size accounts and e-commerce for the smallest accounts.

Customer Lifecycle Management with RFM

Recency-frequency-monetary analysis provides a straightforward approach for customer lifecycle management. As shown in **Figure 5-9**, each cell has a lifecycle objective. For the most current, high-volume customers, the objective is to serve and maintain the account.

Figure 5-9: Lifecycle Management with RFM

Customer Count	Months since last order					
	13 or more	7 to 12	4 to 6	3	2	1
Frequency of purchase						
200 or more	Re-acquire	Re-acquire	Re-acquire	Retain	Retain	Serve
50 to 199	Re-acquire	Re-acquire	Retain	Retain	Retain	Serve
10 to 49	Re-acquire	Retain	Retain	Grow	Grow	Grow
2 to 9	Ignore	Retain	Grow	Grow	Grow	Grow
1	Ignore	Ignore	Onboard	Onboard	Onboard	Onboard

The RFM analysis helps detect when a customer is at risk of defection. For example, a high-volume customer who has not purchased in one month or more is at risk of defecting because it normally orders several times per month. The lifecycle objective here is to actively retain the customer through a variety of methods, including offers, additional service, etc. For lower volume customers, it may be several months before retention becomes relevant. At a certain point, the customer has defected and traditional retention methods are no longer applicable, requiring

re-acquisition or re-activation.

For some distributors, retention is the main issue. For others, the challenge is to grow small customers into mature customers. We have seen a number of distributors where 30 percent to 40 percent of their customers buy only once or a few times. Some small-volume customers have little potential to become mature customers, but we usually find that within the low-volume customers, there are many who fall into the distributor's sweet spots. Those customers have good potential to grow.

While one-time buyers are technically customers, until they have established a multiple repeat-purchase pattern, they are really a combination of customer and prospect. At this stage of the lifecycle, the customer needs to be brought fully on board. Converting these customers requires a coordinated campaign between sales and marketing to move the customer into the growth stage of the lifecycle. Once customers are there, the objective is to increase orders and order size steadily until the customer is mature and can be handled by field sales or more senior inside sales reps.

Multichannel, Multi-Vehicle RFM

Recency-frequency-monetary analysis has been used as a direct marketing technique for nearly 50 years. At its inception, when postage was four cents, it was used to determine which customers should receive an offer. The determination is made by testing the marketing response rate of the various cells. For example, if we know that the grow cells have a 3 percent to 4 percent response rate, we will include them in marketing campaigns where the breakeven is at 3 percent or lower. If a campaign has a 5 percent breakeven, those cells will not be included. RFM predicts by cell in the grid the customers that are most likely to respond to an offer.

Today, RFM applies not only to print marketing vehicles but also outbound telemarketing, email marketing, Web marketing and even field sales. The breakeven calculation for a campaign now includes the cost for each marketing vehicle in the campaign. Compared to times when

print was the only vehicle, the economics of email marketing significantly expands the set of customers who can cost-effectively be touched. Once the contact has been acquired, transmission at less than one cent per contact is extremely affordable.

Even with all of the analytic models available today, RFM remains one of the most powerful methods for predicting campaign response. In contrast to many analytics tools, it does not require significant hardware to run. RFM is easily understood by marketing and sales organizations, and once people get used to the method they become hooked on it. Lifecycle objectives derived from the RFM analysis can be easily integrated into a CRM system so sales reps can take the appropriate actions.

Action Steps: Sales Analytics

- Conduct a sweet spot analysis. This chapter outlines a simple method that is the foundation for better understanding the behavior and trending of your customers.
- Perform a recency-frequency-monetary (RFM) analysis on your transaction data, as outlined here, to create a customer lifecycle management segmentation and strategy.
- Share and discuss the sweet spot and RFM analysis so the management team going forward can base decisions on data, not gut feel about customers and segments.
- Create clear lifecycle objectives for the marketing and sales teams to align activity, including integration into a CRM system to direct appropriate sales rep behavior.

About the Author

Jonathan Bein, Ph.D., is managing partner at Real Results Marketing. Contact him at jonathan@realresultsmarketing.com or visit www.realresultsmarketing.com.